

BUILDING MARITIME POWER

INDUSTRY • SHIPPING



THE GOVERNMENT WANTS INDIA TO BECOME ONE OF THE TOP 10 SHIPBUILDING NATIONS BY 2030 AND ONE OF THE TOP FIVE BY 2047



INDIAN SHIPBUILDERS WILL HAVE TO GO UP AGAINST ESTABLISHED GIANTS SUCH AS CHINA, SOUTH KOREA AND JAPAN



TOGETHER, THE THREE ACCOUNT FOR 98.5% SHIP BUILDING. CHINA'S SHARE IS MORE THAN 60% WHILE INDIA CONTRIBUTES LESS THAN 1%



INDIA HAS A COST ADVANTAGE WITH ITS SURFACE PLATFORMS PRICED 30-40% LOWER THAN EUROPEAN COUNTERPARTS. ITS WARSHIPS ALSO HAVE 90% INDIGENOUS CONTENT



UNLIKE THE CHINESE SHIPBUILDING WHERE THERE IS A GREATER CIVIL-MILITARY FUSION, INDIAN SHIPBUILDING IS PRIMARILY LED BY NAVAL SHIPBUILDING

The Indian government sees shipbuilding as a strategic industry with significant economic multipliers. Shipbuilding has strong linkages to steel, engineering, manufacturing, logistics, electronics, defence production and maritime services. The sector has an employment multiplier of 6.4 and an investment multiplier of 1.82, according to government estimates.

Another major factor is India's trade flows. By 2047, India's export-import cargo is expected to reach nearly 5.7 billion tonnes compared to 1.2 billion tonnes at present. Currently, a large portion, 90-95%, is carried by foreign-owned vessels. Increasing the share of cargo

transported by Indian-owned and Indian-built ships will lower geopolitical risks as well.

THE NAVY CONNECTION

Unlike the Chinese shipbuilding where there is a greater civil-military fusion, Indian shipbuilding is primarily led by naval shipbuilding, says Captain (ret'd) K.K. Agnihotri. "Naval shipbuilding is our strong suit. The commercial ship building has not kept pace. That is where the potential resides," says Agnihotri, a Senior Fellow at the National Maritime Foundation. Only 7% India-owned commercial ships are built domestically.

Indian shipbuilding faces the twin challenge of scaling up and diversifying. In 2026, the Navy plans to commission a record 19 domestically built warships. It has been a leading buyer of ships built in India and inducted its last imported warship in 2025. It plans to field a fleet of 200 warships and submarines by 2035.

The Indian shipyards will have to rise to the challenge by absorbing the latest technologies and scaling up capabilities. At the same time, the government will have to hasten policy decisions and allocate sufficient funds to prevent the withering away of assembly lines. This had happened with MDL, now the largest Indian shipyard, after it did not get follow-on submarine orders for two decades after building HDW submarines. The manufacturing line for Indigenous Aircraft Carrier (IAC) at Cochin Shipyard Ltd has been idle after the induction of IAC-1 in 2022. The nod for the second indigenous aircraft carrier is still awaited. Captain Agnihotri says it is not feasible for CSL to keep the assembly line and human skills ready in perpetuity. "Once the line is utilised somewhere else, we will not be able to find space or time to start the IAC-2."

The last aircraft carrier took more than 12 years to build. The next will take eight-nine years. Construction will start three-four years after the government's nod.

POLICY PUSH

The Navy has been working with public sector shipyards since the 1970s. The service has a ship design bureau and recently brought out the Swavlamban document to codify the future tech and platforms required to be indigenised.

Former CMD of Goa Shipyard Ltd Rear Admiral Shekhar Mittal (ret'd) is hopeful and says the Indian government has been strategically building capabilities of Indian shipyards by farming out orders to